Session 2.2: The Asymmetric Pricing Strategy



CampusJobs: a free app that earns nothing

CampusJobs is a free app that connects university students who want part-time jobs with local shops that need workers. Ravi is its founder.

ONE MONTH	VALUE
Students using the app	**6,000**
Shops posting jobs	**120**
Job posts	**300**
Applications from students	**9,000**
Price for students / shops	**$0 / $0**
Monthly costs	**$4,000**

Ravi's question

A friend says: charge everyone $2.00 a month.

Who should pay? Would charging students make the app useless for shops?

What is the Asymmetric Pricing Strategy?

A **platform** connects two groups who need each other. With asymmetric pricing, it charges them **different prices**. The **subsidy side** pays little or nothing, because its presence attracts the other group. The **money side** pays, because meeting the first group is worth money to it.

Use it when a business connects two groups, one group is easily driven away by a price, and the other group would gladly pay to reach it.

Platform, subsidy side, money side

Two-sided platform

A business that connects two groups of users who need each other.

Example: CampusJobs connects students and shops.

Subsidy side

The side that pays little or nothing because the platform needs many of them.

Example: students use CampusJobs for free.

Money side

The side that pays because reaching the other side is worth money to them.

Example: a shop pays to post a job and find workers.

Price sensitivity, subsidy, cross-subsidy

Price sensitivity

How much a group's use drops when the price rises.

Example: if a $2.00 fee makes 60 of every 100 students leave, students are very price sensitive.

Subsidy

Value the platform gives away to attract a side.

Example: free use, or a $5.00 sign-up bonus.

Cross-subsidy

Using money from one side to pay for the free service given to the other side.

Example: shop fees pay the costs of serving students for free.

Rule 1: Subsidize the side that the other side comes for

Ask: "Which group does the other group want to reach?" Keep that group free or cheap.

WHAT IT LOOKS LIKE

Example

Shops join CampusJobs because 6,000 students are there. Without students, no shop would post a job, so students should stay free.

WHAT TO AVOID

Common mistake

Charging the side that attracts everyone else. When it leaves, the other side leaves too.

Rule 2: Charge the side that gains the most from the match

The money side usually earns money or saves time because of the other side.

WHAT IT LOOKS LIKE

Example

A shop that fills a job quickly saves days of searching and keeps its store running. That is worth more to a shop than a job search is worth to a student in cash.

WHAT TO AVOID

Common mistake

Charging both sides the same price because it looks fair. Equal prices ignore that the two sides value the platform very differently.

Rule 3: Check price sensitivity before you set a price

Find out which side leaves when the price rises, and keep the price low for that side.

WHAT IT LOOKS LIKE

Example

A survey finds that a $2.00 fee would make 60% of students leave, but shops would pay $25.00 per job post if each post gets at least 20 applications.

WHAT TO AVOID

Common mistake

Guessing. A price that looks small to the business ($2.00) can be large for a student budget.

Rule 4: Make the money side cover the subsidy, and protect the free side

The money side must pay enough to cover the cost of serving both sides, and must not harm the free side.

WHAT IT LOOKS LIKE

Example

CampusJobs checks that job-post fees are more than its $4,000 monthly costs, and removes fake or unpaid "job" posts so students keep trusting the app.

WHAT TO AVOID

Common mistake

Giving away free service with no plan for who will pay, or letting the paying side flood the free side with low-quality offers.

Adobe Acrobat Reader

What happened

In the 1990s, Adobe gave away the Reader program for opening PDF files for free, and sold the Acrobat software that creates and edits PDF files to businesses.

Why it is good

- Millions of free readers made PDF the format businesses wanted to use. **(Rule 1)**
- Businesses that create documents gained the most, so they were charged. **(Rule 2)**
- Readers would not have paid just to open a file, so Reader stayed free. **(Rule 3)**

GOOD EXAMPLE 2

Google Search

What happened

People search on Google for free. Advertisers pay Google to show labeled ads next to search results.

Why it is good

- Advertisers come because billions of people search there: searchers are the subsidy side. **(Rule 1)**
- Advertisers earn money from the customers they reach: they are the money side. **(Rule 2)**
- Ads pay for the free service, and labels keep searchers' trust. **(Rule 4)**

BAD EXAMPLE 1

Unity's 2023 Runtime Fee

What happened

Unity sells tools that game developers use to build games. In September 2023, it announced a fee charged to developers each time a game was installed, including some games already released. Developers protested, Unity changed the plan within weeks, and its CEO left the following month.

Why it is bad

- Developers bring the games that make Unity valuable; a sudden fee pushed them away. **(Rule 1)**
- Unity did not first check how developers would react to a fee on installs they could not control. **(Rule 3)**
- Changing prices for games already released broke developers' trust.

BAD EXAMPLE 2

Groupon and local merchants

What happened

Groupon sold deep-discount deals, often 50% off, from local businesses to its many shoppers, and took a share of the deal price. Many small businesses found that a deal cost them more than it earned, because most deal buyers did not return at full price.

Why it is bad

- The money side paid for a large subsidy but did not gain enough from the match. **(Rule 2)**
- Shoppers came for the discount, not for the merchant. **(Rule 4)**
- Merchants who lost money did not run a second deal, so the platform lost its supply.

Which rule made the difference?

EXAMPLE	RESULT	THE RULE THAT DECIDED IT
Adobe Reader	**Good**	Free readers attracted paying creators (Rule 1)
Google Search	**Good**	Advertisers pay; searchers stay free and trust results (Rules 2 and 4)
Unity 2023	**Bad**	Charged the side everyone comes for (Rule 1)
Groupon	**Bad**	The money side paid more than it gained (Rule 2)

Keep free the side others come for; charge the side that gains the most; make sure the numbers cover the subsidy.

Tool 1: Revenue from each side

Calculate revenue for each side, then add them.

USED IN EXERCISES 2 AND 3

Formula

Revenue = (users on side A x price for A) + (users on side B x price for B)

WHAT IT LOOKS LIKE

Example: a campus events app

- 2,000 students pay $0.
- 40 clubs pay $10.00 a month.
- 2,000 x $0 + 40 x $10.00 = $400 a month.

Tool 2: Value per match for the money side

The money side pays only if it gets enough matches.

USED IN EXERCISE 3

Formula

Matches per post = total matches / number of posts

WHAT IT LOOKS LIKE

Example: a tutoring app

- 800 student requests for 100 tutor listings.
- 800 / 100 = 8 requests per listing.
- Tutors pay only with at least 10 requests: 8 is not enough yet.

Tool 3: Trade-off and decision rule (from Session 2.1)

MEMO BULLET 2

Trade-off

What you give up to get something you value more.

MEMO BULLET 3

Decision rule

A promise, written before you start, about which result would make you change your decision.

Find the subsidy side and the money side

- (a) A free campus newspaper that is paid for by local businesses' ads.
- (b) A credit card that gives shoppers cash back, while stores pay a fee on each card payment.
- (c) A video game console sold at a low price, while game companies pay the console maker a fee on every game sold.

EXERCISE 1 / EASY / 20 MIN

Use the template

TEMPLATE

Platform [letter]: The subsidy side is [group], because [the other side comes for them].
The money side is [group], because [what they gain from the match].

WORKED EXAMPLE: CAMPUS RADIO APP

The subsidy side is students, because sponsors pay to reach the students who listen.
The money side is local sponsors, because they gain customers from the students who hear their messages.

The subsidy side attracts the money side

PLATFORM	SUBSIDY SIDE	MONEY SIDE
(a) Newspaper	Readers, whom advertisers want to reach	Local businesses, which gain customers
(b) Credit card	Shoppers, who even get cash back	Stores, which gain sales from card users
(c) Game console	Players, who buy a low-priced console	Game companies, which earn from players

Can the money side cover the subsidy? GameNight

Scenario

GameNight lists board-game nights at campus cafes. Players use it free and get a **$2.00 snack voucher** per event; GameNight pays for it.

Cafes pay **$30.00** per event. This month: **40 events**, **15 players** each.

Your steps

- **Step 1 (Tool 1):** Cafe revenue = 40 x $30.00 = $____. Voucher cost = 40 x 15 x $2.00 = $____. Profit = $____.
- **Step 2:** Change one price or subsidy so the money side covers the subsidy. Explain why players still come.

Use the template

TEMPLATE

Subsidy side: [group], and what we give them: [subsidy].
Money side: [group], and what they pay: [price].
Change: [one change to a price or a subsidy].
New numbers: revenue $[amount] - subsidy cost $[amount] = $[result].
Why the subsidy side will still come: [reason linked to a rule].

WORKED EXAMPLE: BOOK-SWAP APP

Subsidy side: students, and what we give them: free listings and a $1.00 credit per swap.
Money side: publishers, and what they pay: $50.00 a month to reach readers.
Change: lower the swap credit from $1.00 to $0.50.
New numbers: revenue 10 x $50.00 = $500 - subsidy cost 600 x $0.50 = $300 = $200.
Why the subsidy side will still come: listing stays free, the main value for students (Rule 1).

Revenue $1,200 minus vouchers $1,200 = $0

- Cafe revenue = 40 x $30.00 = **$1,200**. Voucher cost = 40 x 15 x $2.00 = **$1,200**. Profit = **$0**.
- Keep the app free for players (Rule 1).
- Raise the cafe fee a little: 40 x $40.00 = $1,600, so $1,600 - $1,200 = $400.
- Or lower the voucher to $1.00: 40 x 15 x $1.00 = $600, so $1,200 - $600 = $600.
- Players still come for the cafes and the games, not mainly for the voucher.

Choose a pricing plan for CampusJobs

6,000 students / 120 shops / 300 posts / 9,000 applications / costs $4,000

OPTION A

Option A: Charge everyone $2.00 a month

A survey shows **60% of students** would leave if they had to pay.

Shops would also pay $2.00 a month each.

OPTION B

Option B: Students free, shops pay per post

Shops pay **$25.00 per job post**.

Shops will pay only if each post gets **at least 20 applications**.

Calculate before you decide (Tools 1 and 2)

- Option A: students who stay = 6,000 x 40% = _____; revenue = students x $2.00 + 120 x $2.00 = $_____
- Option A: applications = 9,000 x 40% = _____; applications per post = applications / 300 = _____
- Option B: revenue = 300 x $25.00 = $_____; applications per post = 9,000 / 300 = _____
- Which option covers the $4,000 costs, and in which do shops get the 20 applications they need?

Write a 3-bullet memo to the CEO (Tool 3)

TEMPLATE

To: [CEO name], [company]
1. Decision and evidence: We should choose [option] because [the rule it follows] and [one number from your calculation].
2. Biggest risk and trade-off: The weakest point is [risk]. We give up [what we lose] to gain [what we protect or win].
3. Next step and decision rule: In the next 60 days we will [one action] and measure [one number]. We will change this decision if [result].

Then give a 2-minute presentation using your three bullets.

TutorLink: charge students or tutors?

To: Ana Lopez, CEO, TutorLink

1. Decision and evidence: We should keep students free and charge tutors 10% of each lesson, because tutors come for the students (Rule 1) and 1,000 lessons at $20 give us 1,000 x $2 = $2,000 a month.

2. Biggest risk and trade-off: The weakest point is that tutors may leave if they get too few lessons. We give up student fees to keep the students that tutors want to reach.

3. Next step and decision rule: In the next 60 days we will measure lessons per tutor. We will change this decision if tutors average fewer than 4 lessons a month.

Charging everyone earns less and loses the shops

The numbers

- Option A: 2,400 students stay; 2,400 x $2.00 + 120 x $2.00 = **$5,040**.
- But applications fall to 3,600, or **12 per post**, below the 20 shops need: shops are likely to leave next.
- Option B: 300 x $25.00 = **$7,500**, above $4,000 costs, with 9,000 / 300 = **30 applications** per post.

A strong memo

- Chooses Option B.
- Uses at least one number from Step 1.
- Names a real risk: shops may post fewer jobs once they pay, or the survey may be wrong.
- States a decision rule, e.g. "If applications per post fall below 20, we will lower the fee."

SUCCESS CHECK

Can you do these three things?

01

Name the subsidy side and the money side of a platform and explain why.

02

Check whether the money side covers the cost of a subsidy.

03

Explain why charging both sides the same price can make a platform earn less.

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